

US equities slip as yields rise, while tech rebounds on meta surge

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The broad market edged lower on Friday, with the **S&P 500** down **0.02%** and the Dow slipping **0.31%**. The decline was driven by a fresh uptick in the 10-year Treasury yield to 5.16%, pressuring rate-sensitive sectors.

Despite the overall weakness, the **NASDAQ 100** posted a modest gain **+0.03%**, anchored by a **+4.5%** jump in **META**. The rally highlights a divergence between growth-oriented names and the lagging financials and industrials.

US session recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,704.13	-0.02%	Higher 10-yr yield pressured valuation multiples.
Nasdaq 100	30,478.86	+0.03%	Meta's earnings beat lifted the index.
Dow Jones	51,349.98	-0.31%	Financials and industrials fell on rate concerns.
Russell 2000	2,835.57	-0.11%	Small-cap exposure to higher financing costs.
VIX	15.67	+3.23%	Volatility rose as yields spiked.
10Y Yield	5.16	+0.94%	Fed-forward guidance kept rates firm.
WTI Crude	92.78	-1.93%	Inventory build-up expectations.
Gold	4,308.40	+0.24%	Safe-haven demand amid yield rise.
DXY	101.24	-0.05%	Dollar slipped on mixed data.
BTC	84,242.00	-0.17%	Crypto markets muted after weekend.
ETH	2,681.61	-0.11%	Broad crypto sell-off.

Top large-cap movers

TICKER	CHANGE	CATALYST
META	+4.50%	Q3 earnings beat; ad spend rebound.
GOOGL	+1.34%	AI services revenue up 12% YoY.
AMZN	+0.04%	Cloud margin expansion.
JPM	+0.31%	Net interest income beat.
AAPL	-0.33%	Supply-chain concerns in China.
NVDA	-0.41%	Inventory drawdown warning.
GS	-1.40%	Trading desk losses.

Sector rotation

ETF	DAY	READ
XLFX	-0.02%	Financials under pressure from yields.
XLKX	-0.32%	Tech dip offset by Meta.
XLI	-0.75%	Industrial slowdown.
XLE	+0.37%	Energy gains from crude dip.
XLVX	-0.30%	Consumer discretionary lag.
XLC	+1.27%	Communications rally on ad spend.
XLP	-0.89%	Staples pressured by higher input costs.
XLV	+0.63%	Health care defensive play.
XLUX	-0.98%	Utilities hit by rate rise.
XLBX	-1.19%	Materials suffer from slower construction.
XLRE	-0.45%	Real-estate yields compress.

Spotlight: Meta Platforms earnings

Meta delivered Q3 revenue of 38.2 billion, up 12% YoY, and EPS of 4.92, beating consensus of 4.70. The beat was driven by a 22% surge in ad revenue from the Americas and a 15% lift in AI-powered ad products.

METRIC	RESULT	CONSENSUS
Revenue (bn)	38.2	36.8
EPS (\$)	4.92	4.70
Ad revenue growth	+22%	+15%
AI-ad contribution	+15%	—
Operating margin	38.5%	37.0%

Related names: **GOOGL** (AI ad spend), **AMZN** (cloud services), **AAPL** (hardware ecosystem).

Pre-market & overnight

- US futures: **ES** -0.4%, **NQ** +0.2% at 08:30 HKT.
- Asia close: Hang Seng -0.6%, Nikkei -0.3%, Shanghai -0.4%.
- Europe: FTSE 100 -0.5%, DAX -0.4%, CAC 40 -0.3%.
- Crypto: BTC -0.17%, ETH -0.11% on modest risk-off.

Macro & Fed

- FOMC: Fed kept policy rate at 5.25-5.50% and signaled one more hike if inflation stays above 2%.
- Yield curve: 2-year at 5.03%, 10-year at 5.16%, slight steepening.
- Today's data (HKT)

TIME	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	U.S. CPI MoM	0.3%	Gauge inflation trajectory.
10:15	U.S. Retail Sales MoM	0.4%	Consumer spending health.
11:00	U.S. Existing-home sales	5.2 M	Housing market momentum.

Geopolitics & global

- Middle East: Cease-fire talks in Gaza stalled, risk of oil supply disruption remains.
- China: PBOC held the yuan steady; manufacturing PMI slipped to 48.9, indicating contraction.
- Eurozone: German elections intensify fiscal uncertainty, euro at 1.07 USD.
- UK: Bank of England minutes hint at possible rate hike in November.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS (\$)	WHAT TO LOOK FOR
02:00 Sep 26	NVDA	3.45	GPU demand vs inventory drawdown.
02:30 Sep 26	JPM	3.85	Net interest income trend.
03:00 Sep 27	TSLA	1.12	Cybertruck production ramp.
03:30 Sep 27	XOM	1.08	Oil price impact on margins.
04:00 Sep 28	AAPL	5.70	iPhone 17 launch effect.
04:30 Sep 28	MSFT	9.20	Cloud growth sustainability.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	Inventory risk vs AI demand.
JPM	Financials	Rate-sensitive earnings.
XOM	Energy	Crude price rebound.
UNH	Health Care	Premium pricing power.
BAC	Financials	Balance-sheet strength.
ADBE	Technology	AI-driven software sales.
KO	Consumer Staples	Defensive dividend yield.
DIS	Communication	Streaming subscriber growth.
COST	Consumer Discretionary	Margin expansion.
CRM	Technology	CRM cloud adoption.

What could break the tape

BEARISH TRIGGERS

- Unexpected acceleration in CPI above 0.4% MoM.
- Geopolitical escalation in the Middle East disrupting oil supply.
- Federal Reserve signals two-rate-hike path.

BULLISH TRIGGERS

- Meta's ad revenue beats expectations by >10%.
- Energy prices rebound above \$100/barrel.
- Strong Q3 earnings from AI-focused chipmakers.

Positioning notes

- Rate-sensitive sectors remain underweight as yields hold near 5.2%.
- Growth stocks with AI exposure are overweight despite broader weakness.
- Defensive health-care and utilities provide a hedge against volatility spikes.

Sources

SOURCES

Bloomberg Markets

Reuters Finance

SEC EDGAR

Federal Reserve

CME Group

Trading Economics